

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

SAMSUNG ELECTRONICS AMERICA, INC., *Complainant*

v.

SM LINE CORPORATION, *Respondent*.

DOCKET NO. 23-01

Served: January 31, 2024

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

ORDER DENYING MOTION FOR LEAVE TO FILE THIRD-PARTY COMPLAINT

On November 17, 2023, Respondent SM Line Corporation filed a renewed motion seeking leave to file a third-party complaint, along with a motion requesting confidential treatment of certain designated information in the motion for leave, including the identity of the proposed third-party respondents. The motion for confidential treatment has been granted pursuant to an accompanying order. On November 22, 2023, Complainant Samsung Electronics America, Inc. (“SEA”) filed an opposition, arguing that Respondent’s motion fails to allege a Shipping Act violation in accordance with 46 C.F.R. § 502.62(b)(4) and fails to meet the standards applied by federal courts in determining whether to allow filing of a third-party complaint under FRCP 14. Complainant also filed a motion for confidential treatment, which has been granted pursuant to the accompanying order. Following receipt of SEA’s opposition, I held a status conference on December 20, 2023 to discuss the motion. At the conclusion of that conference I denied SM Line’s motion and stated that a written order would follow.

Commission Rule 62(b)(4) provides that a respondent may include in its answer a third-party complaint. Third-party complaints must allege and be limited to violations of the Shipping Act within the jurisdiction of the Commission. 46 C.F.R. § 502.64(b)(4). The rule does not explicitly provide for filing of a third-party complaint after the answer has been filed, and in situations not covered by a specific Commission rule, the Commission follows the Federal Rules of Civil Procedure to the extent consistent with sound administrative practice. 46 C.F.R. § 502.12. Under FRCP 14, a third-party plaintiff must obtain the court’s leave to file a third-party complaint more than 14 days after serving its original answer. The factors in exercising discretion to grant a motion for leave to file a third-party complaint include: (1) whether it will cause prejudice to the original plaintiff, (2) whether it will add new and complicated issues that will threaten the orderly and prompt resolution of the case, (3) the timeliness of the motion, and (4) whether the proposed third-party complaint fails to state a claim. *Millers Cap. Ins., Co. v. Hydrofarm, Inc.*, 340 F.R.D. 198, 210 (D.D.C. 2022).

As to the first factor, SM Line states that its motion is not prejudicial because it has “on more than one occasion apprised Complainant of its intention to file this third-party complaint after reviewing the documentation supplied by SEA.” Renewed Mot. for Leave to File Third-Party Compl. (“Renewed Mot.”), p. 8. SEA argues that it is prejudiced by the delay of bringing in new parties six months after the answer was filed and in the midst of discovery. Opp’n to Renewed Mot., pp. 9-10. Rather than mitigating any potential prejudice, SM Line’s statements regarding its intent to file a third-party complaint simply highlight the unreasonableness of its delay.

Although SM Line asserts that it “only recently identified these specific third-party defendants,” at least one of the parties was identified in SM Line’s answer as an indispensable party that SEA had failed to join. See Answer, Affirmative Defense No. 9. Given the verification requirements of Rule 6, the appearance of this party in SM Line’s affirmative defenses indicates that SM Line must have conducted a reasonable inquiry into its involvement in the shipments as early as May 12, 2023. Then, at a status conference on August 22, 2023 to discuss a requested 60-day extension to the scheduling order, SM Line stated its intent to file a third-party complaint. At that time, I instructed the parties to confer, comprehensively consider their discovery needs, come up with a plan for completing discovery, and resubmit the motion for an extended scheduling order. The potential impleader and its projected impact on the schedule should have been discussed and accounted for at that time. But SM Line’s amended motion to extend the scheduling order, filed August 28, 2023, did not include a deadline for the joining of additional parties (a concern noted in SEA’s opposition to the amended motion) and the first motion for leave to file a third-party complaint was not filed until October 12, 2023. Under these circumstances, I find that the delay of waiting until several months into the discovery period is unreasonable and prejudicial.

As to complication of the issues, SM Line’s argument is somewhat vague, but it seems to essentially be that bringing in the third parties will not complicate the case because the dispute will still revolve around the shipments at issue in SEA’s complaint. SEA argues that it would complicate the case because SM Line’s claims against the third parties are contract claims. While I agree that SM Line’s third-party claims would not excessively complicate matters, I also find that they do not state a plausible Shipping Act claim on their face, and therefore fail to satisfy Rule 62(b)(4).

The third-party complaint alleges three counts: a violation of 46 U.S.C. § 41104(a), of § 41102(a), and of 46 C.F.R. § 515.31(e). Each of these counts is based on the following factual allegations. Third-Party Respondents, who are owned by the same parent company as Complainant, entered into service agreements with SM Line to transport the shipments that are the subject of the complaint. Complainant paid Third-Party Respondents, who in turn paid SM Line for transporting the shipments. Third-Party Respondents assisted Complainant in preparing the complaint in this case, which seeks to recover improper detention and demurrage charges which, SM Line contends, Third-Party Respondents would not be entitled to recover under the terms of their service agreements with SM Line. Renewed Mot., App. A, pp. 6-7.

SM Line’s first count is an alleged violation of 46 U.S.C. § 41104(a), which prohibits a common carrier from obtaining transportation for property at less than the rates established by the carrier in its tariff or service contract by means of false billing, classification, weighing,

measurement, or by any unjust or unfair means. SEA argues that § 41104(a) applies only to common carriers, and that the proposed third-party complaint does not establish that third-party respondents acted as common carriers with respect to the shipments at issue. While the third-party complaint does state that “third-party respondents hold themselves out as international ocean transportation service providers and provide a wide range of shipping and logistics services,” there is no factual allegation or even conclusory statement averring that they acted as a common carrier with respect to the shipments at issue. Renewed Mot., App. A., ¶ 44.

In addition, the “unfair means” allegedly employed by the third-party respondents is purportedly this case. That is, if the detention and demurrage charges at issue here are found to be unlawful under the Shipping Act, then SEA, in connection with third-party respondents, will have obtained transportation for less than the agreed rates. Renewed Mot., App. A, p. 8. ¶ 45. I have found no authority for the proposition – and SM Line has produced none – that a finding by the Commission that detention or demurrage charges violated the Shipping Act, and an award to a complainant on that basis, results in a § 41104(a) violation by virtue of the fact that complainant will then have obtained transportation for less than was initially billed and paid under the parties’ service contract. Under this theory, any finding that the Shipping Act has been violated with respect to such charges is itself a violation of the Shipping Act – an unlikely result. Even taken to be true, the allegations of Count I on their face do not state a Shipping Act claim as required by Rule 62(b)(4).

Count II of the proposed third-party complaint alleges a violation of § 41102(a), which prohibits a person from knowingly and willfully obtaining ocean transportation at less than the rates or charges that would otherwise apply by means of false billing, classification, weighing, measurement, “or any other unjust or unfair means.” 46 U.S.C. § 41102(a). Count II does not allege that third-party respondents falsely classified or weighed the goods they were shipping with SM Line. Instead, it argues, like Count I, that SEA’s complaint in this case is an unjust or unfair means of obtaining ocean transportation at less than the applicable rate. As with Count I, no authority has been cited for the unlikely proposition that a complaint alleging a Shipping Act violation – one found to be meritorious, as it would have to be for SEA and third-party respondents to succeed in their alleged “scheme” – is itself a violation of § 41102(a). Count II similarly does not satisfy the requirements of Rule 62(b)(4).

Count III is similar to Count II, alleging a violation of 46 C.F.R. § 515.31(e), which prohibits an ocean transportation intermediary from filing or assisting in the preparation of “any claim, affidavit, letter of indemnity, or other paper or document concerning an ocean transportation intermediary transaction which it has reason to believe is false or fraudulent.” Although the factual basis for this claim in the proposed third-party complaint is vague, counsel clarified at the status conference that, as with Count II, the purportedly false document is SEA’s complaint in this case. For the same reasons, Count III does not satisfy the requirements of Rule 62(b)(4).

As I stated at the status conference, the third-party claims appear to be recharacterizations of SM Line’s affirmative defenses, and nothing in this order should be construed as an assessment of those defenses. Also as discussed at the status conference, I have permitted SM Line to seek discovery from the third-party respondents by way of subpoenas

and/or letters of request under the Hague Convention. For the foregoing reasons, SM Line's renewed motion for leave to file a third-party complaint is **DENIED**.

Alex Michael
Chintella



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Alex M. Chintella
Administrative Law Judge